

Module 9

Principles of Taxation

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)**Answer 1(a)**

Square Limited	
Commercial building allowance	
Year of assessment 2019/20	
	HK\$
Qualifying expenditure b/f in respect of:	
Property B	4,000,000
Office premises	800,000
	4,800,000
Additions – cockloft	600,000
	5,400,000
Annual allowance – 4%	216,000

Answer 1(b)

Square Limited	
Profits tax computation	
Year of assessment 2019/20	
Basis period: year ended 31 December 2019	
	HK\$
Net profit per income statement	5,643,500
Add: Compensation to former staff	1,500,000
Special contributions to MPF scheme (HK\$250,000 x 4/5)	200,000
Annual contributions in respect of Ken HK\$(240,000 - 1,200,000 x 15%)	60,000
Commission to unidentified recipients	135,000
Commission to property agent	15,000
Loss on sale of fixed assets	120,000
Loan to a customer written off	120,000
Legal fee for purchasing office property	30,000
Professional fee for tax appeal	100,000
Fines	12,000
Donations	100,000
Depreciation	270,000
	8,305,500
Less: Compensation for cancellation of sale & agreement of office property	300,000
Interest on US dollar fixed deposit	120,000
Rental income from Property A	300,000
Bad debt recovered	70,000

Research and development expenditure further allowed HK\$(2,000,000 x 300% + 1,000,000 x 200% - 3,000,000)	5,000,000	
Refurbishment expenditure (HK\$300,000 x 1/5)	60,000	
Commercial building allowance	216,000	
Depreciation allowance of plant & machinery	420,000	(6,486,000)
		1,819,500
Less: Approved charitable donations		(100,000)
Assessable profit		1,719,500
Profits tax @8.25%		141,858
Less: Tax reduction		(20,000)
Profits tax payable		121,858

Answer 1(c)(i)

Interest received on US dollar fixed deposit placed with a bank in Hong Kong.

Interest received on US dollar fixed deposit placed with a bank in Hong Kong is taxable under s.15(1)(f) of the IRO as the Company is carrying on business in Hong Kong and the interest is sourced in Hong Kong by virtue of provision of credit test. However, it is exempt from payment of profits tax by reason of the Interest Exemption Order 1988, therefore the interest received is exempted.

Answer 1(c)(ii)

Compensation paid to retired former staff.

Compensation paid to the retired former staff for not competing with the Company's business for four years is for the purpose of acquiring an advantage of enduring benefit to the Company. The payment is capital in nature and therefore is not deductible under profits tax under s.17(1)(c) of the IRO.

Answer 2(a)

Steve			
Share option gain			
Year of assessment 2019/20			
	HK\$	HK\$	
Market value at the time of exercise (100,000 x HK\$5)		500,000	
Less: Cost of option	10,000		
Cost of shares (100,000 x HK\$2)	200,000	(210,000)	
Share option gain		290,000	

Answer 2(b)

Steve
Salaries tax
Year of assessment 2019/20
Basis period: year ended 31 March 2020

	HK\$	HK\$
Salary		1,200,000
Bonus		200,000
Housing allowance (HK\$40,000 x 6)		240,000
Holiday journey benefit [HK\$(90,000 - 40,000) x 7/16]		21,875
Education benefit		140,000
Director's fees		150,000
		<u>1,951,875</u>
Rental value HK\$(1,951,875 - 240,000 - 2,150) x 6/12 x 10%		85,486
		<u>2,037,361</u>
Share option gain		290,000
Total assessable income		<u>2,327,361</u>
Less: Subscription	2,150	
Self-education expenses	60,000	(62,150)
Net assessable income		<u>2,265,211</u>
Less: Approved charitable donations	90,000	
Home loan interest	100,000	
Mandatory contribution to MPF scheme	18,000	
Qualifying annuity premiums	60,000	(268,000)
		<u>1,997,211</u>
Less: Married person's allowance	264,000	
Child allowance HK\$(120,000 + 120,000 + 120,000)	360,000	
Dependent parent allowance with additional	100,000	(724,000)
Net chargeable income		<u><u>1,273,211</u></u>
Tax at progressive rate		198,445
HK\$(1,273,211 - 200,000) x 17% + HK\$16,000		<u>299,581</u>
Tax at standard rate HK\$1,997,211 x 15%		<u><u>299,581</u></u>
Salaries tax		198,445
Less: Tax reduction		(20,000)
Salaries tax payable		<u><u>178,445</u></u>

Answer 2(c)(i)

Dividends of HK\$80,000 from AA Limited.

Although the payer of the dividends is Steve's employer, the dividends were received by reason of the shares owned and not derived from the employment, hence the dividends received were not chargeable to salaries tax.

Answer 2(c)(ii)

Cash donations for AA Limited's lucky draw at its annual dinner.

An approved charitable donation means a donation of money to any charitable institution which is exempt from tax under s.88 of the IRO or to the government, for charitable purposes. Steve's donation to AA Limited for lucky draw at annual dinner does not satisfy the above conditions and the donation cannot be deducted from his assessable income.

Answer 3(a)

Factors in deciding whether a gain derived from the sale of an asset is a trading or capital sale include the following:

- (1) Profit seeking motive;
- (2) The subject matter of transaction;
- (3) Length of ownership;
- (4) Frequency of similar transactions;
- (5) Supplementary work on the property;
- (6) Circumstances responsible for the disposal;
- (7) The manner in which the sale of the asset was effected;
- (8) The method by which the asset was acquired; and
- (9) The source of financing.

Answer 3(b)

In relation to Joe's case, Joe owned the flat for more than five years, and the property was used by him as his residence. He purchased the flat by means of his past savings and a long-term mortgage loan from a bank, he has no history of property dealing and he acquired another property as his residence, which meant that it was a change of investment. All these points indicated that the property held by Joe was a capital asset instead of a trading asset and the transaction was a disposal of capital asset, hence the gain is not likely chargeable to profits tax.

Answer 4(a)

North Limited Depreciation allowance Year of assessment 2019/20			
	20% pool	30% pool	Allowance/ (Charge)
	HK\$	HK\$	HK\$
WDV b/f	37,000	25,000	
Additions	30,000		
	<u>67,000</u>		
Less: Initial allowance – 60%	<u>(18,000)</u>		18,000
	49,000		
Less: Disposal	<u>(14,000)</u>	<u>(30,000)</u>	
Balancing allowance (charge)	<u>35,000</u>	<u>(5,000)</u>	30,000
Total allowances			<u>48,000</u>

Answer 4(b)

North Limited Profits tax computation Year of assessment 2019/20 Basis period: 1 April 2019 – 31 October 2019		
	HK\$	HK\$
Adjusted profit (HK\$190,000 x 7/10)		133,000
Add: Relevant profit (HK\$190,000 - HK\$133,000)	57,000	
Less: Transitional amount	<u>0</u>	<u>57,000</u>
		190,000
Less: Depreciation allowances of plant and machinery	48,000	
Balancing allowance of CBA	<u>40,000</u>	<u>(88,000)</u>
Assessable profit		<u>102,000</u>

Answer 5(a)

Under s.5(1) of the IRO, property tax is charged on the owner of the land or buildings or land and buildings situated in Hong Kong. Starting from 1 April 2019, Paul is the owner of a property in Hong Kong and receiving rental income, therefore Paul is chargeable to property tax for the year of assessment 2019/20.

For the election for personal assessment, one of the conditions is that an individual must either be a permanent or temporary resident in Hong Kong. Permanent resident means an individual who ordinarily resides in Hong Kong. Temporary resident means an individual who stays in Hong Kong for more than 180 days in the year of assessment concerned or 300 days in two consecutive years of assessment, one of which is the year of assessment concerned. According to the information supplied, Paul is neither a permanent nor a temporary resident in Hong Kong during the year of assessment 2019/20. He is therefore not eligible to elect for personal assessment for the year of assessment 2019/20.

Paul
Property tax
Year of assessment 2019/20
Basis period: year ended 31 March 2020

	HK\$
Rent (HK\$35,000 x 11)	385,000
Premium (HK\$90,000 x 12/30)	36,000
	421,000
Less: Rates paid by owner	(12,000)
	409,000
Less: 20% statutory deduction	(81,800)
Net assessable value	327,200
Property tax @15%	49,080

Answer 6(a)

The agreement for sale and purchase ("ASP")

AD valorem stamp duty ("AVD")

The ASP executed on 1 September 2019 is chargeable with AVD at the scale two rates because the purchaser, Simon, is a Hong Kong permanent resident, he did not own any residential property in Hong Kong at the time of purchase of the Property and he purchased the Property on his own behalf. The amount of AVD is computed as follows:

$$\text{AVD} = \text{HK\$}10,000,000 \times 3.75\% = \text{HK\$}375,000$$

Special stamp duty ("SSD")

Any residential property resold within 36 months will be subject to SSD. The vendor Peter purchased the Property on 1 July 2017 and sold it to Simon on 1 September 2019. Since he held the Property for more than 24 months but less than 36 months, SSD is payable as follows:

$$\text{SSD} = \text{HK\$}10,000,000 \times 10\% = \text{HK\$}1,000,000$$

Buyer's stamp duty ("BSD")

BSD is payable where the purchaser of the property is not a Hong Kong permanent resident or a close relative of the vendor. The ASP is not chargeable with BSD because the purchaser Simon is a Hong Kong permanent resident.

Answer 6(b)

The conveyance on sale ("COS")

Ad valorem stamp duty ("AVD")

The COS dated 31 October 2019 is executed not in conformity with the earlier ASP because Simon's spouse Judy owned another residential property in Hong Kong on 31 October 2019. As the nominee Judy is a close relative of the purchaser Simon, the COS is chargeable with AVD at the scale 2 rates based on the half share interest assigned by Simon to Judy by reference to the value of the Property at the date of conveyance. The amount of AVD is as follows:

$$\text{AVD} = \text{HK\$}9,000,000 \times 3.75\% \times \frac{1}{2} = \text{HK\$}168,750$$

Special stamp duty ("SSD")

Simon assigned half share of the Property to his spouse Judy within 36 months after acquisition on 1 September 2019 but is exempt from SSD because the nominee Judy is the purchaser's close relative.

Buyer's stamp duty ("BSD")

The COS is not chargeable with BSD as the nominee Judy is a close relative of the purchaser.

* * * END OF EXAMINATION PAPER * * *